

XP Power Ltd. – Financial and Operational Analysis Report

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Executive Summary

This report provides a comprehensive analysis of XP Power Ltd.'s recent financial and operational performance. The company is currently facing significant challenges related to profitability and leverage, yet it shows promising signs in cash flow generation and liquidity management. Institutional ownership and valuation metrics offer insights into market perceptions and potential investment opportunities.

Key Findings

- **Profitability Metrics**
 - Operating margin is weak at **1.5%**.
 - Net margin is negative at **-3.9%**.
 - Returns on equity and capital employed are negative or very low, indicating poor profitability and capital efficiency.
- **Leverage and Financial Risk**
 - Debt-to-equity ratio stands at **1.1**, indicating high leverage.
 - Interest coverage ratio is very low at **0.2x**, signaling difficulty in meeting interest obligations.
 - Net debt to EBITDA is extremely high at **24.5x**, highlighting significant financial risk.
- **Liquidity Position**
 - Current ratio is adequate at **1.6**.
 - Quick ratio is slightly below 1 at **0.9**, suggesting some reliance on inventory for liquidity.
- **Operational Efficiency**
 - Inventory turnover is strong at **4.2x**.
 - Days sales outstanding (DSO) is efficient at **22 days**.
 - These ratios indicate effective working capital management.

- **Earnings Quality**

- Accruals ratio is strongly negative at **-31.2%**, reflecting high earnings quality.
- EBITDA to free cash flow conversion is excellent at **1158.3%**.
- No gap exists between adjusted and statutory earnings, enhancing transparency.

- **Asset Quality**

- Goodwill accounts for **17.6%** of total assets.
- Tangible book value is **£72.7 million**.
- Capex to depreciation ratio is zero, flagged as a point to monitor.

- **Cash Flow Generation**

- Cash conversion ratio is strong at **5.8**.
- Free cash flow is positive at **£35.3 million**.

- **Ownership Structure**

- Nearly **95%** free float, indicating broad institutional support.
- Top 10 shareholders hold about **62%**, including reputable investment firms.

- **Valuation Multiples**

- EV/EBITDA and EV/EBIT ratios are very high at **67.6x**, suggesting market skepticism or depressed earnings.
- Free cash flow yield is strong at **26.9%**, indicating potential undervaluation on a cash flow basis.

- **Recent Financial Developments**

- Revenue and gross profit have declined.
- Net loss reported in H1 2025.
- Significant net debt reduction from £93.5 million to £57.9 million, aided by share placing and debt repayments.

Relevance of Findings

- The weak profitability and high leverage highlight **significant financial and operational risks** for XP Power Ltd.
- Strong cash flow generation and improved liquidity provide a **foundation for potential recovery**.
- Institutional ownership supports **governance and strategic oversight**, critical for activist investors considering engagement.
- Mixed valuation multiples reflect **market caution but also potential undervaluation**, especially on a cash flow basis.
- These insights are essential for **formulating an activist investment thesis and strategy** focused on operational improvements and deleveraging.

Conclusions and Recommendations

XP Power currently faces significant operational and financial challenges, with weak profitability and high leverage impairing financial health. Nonetheless, the company demonstrates strong cash flow generation, adequate liquidity, and has materially reduced net debt recently through capital raising and debt repayments.

The ownership structure with major institutional investors supports governance and strategic oversight. Valuation multiples suggest the market is cautious, pricing in recovery potential rather than current earnings power.

The strong free cash flow yield indicates potential undervaluation on a cash basis, but operational improvements and continued deleveraging are critical to restore profitability and reduce financial risk.

Recommendations for further analysis include:

- Management guidance on earnings recovery.
- Detailed segment performance review.
- Scenario modeling of cash flow under varying market conditions.

Analyst's Signature

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